potential sharp drop in remittances from non-resident Indians (NRIs) located in advanced economies which were sinking into deeper recession and in the Gulf countries which were wobbling from a steep drop in oil prices.

The contagion of the crisis through the real channel, which manifested mainly in the form of a slump in demand for exports, was more prolonged and painful. The United States, the European Union and the Middle East, which together accounted for three quarters of India's foreign trade, were in a synchronized downturn. Not just goods export, but even services export growth started slowing as overseas financial services firms—traditionally large users of outsourcing services—were downsizing.

Beyond the finance and real economy channels, the crisis spread through the confidence channel. For sure, even at the height of the crisis, Indian financial markets continued to function in a fairly orderly manner; also, our banks continued to lend. However, the tightened global liquidity situation in the period immediately following the Lehman collapse came on top of a turn in the domestic credit cycle which heightened risk aversion, making banks wary and cautious about lending.

Crisis Management

In terms of crisis management, our strategy in the Reserve Bank was to focus on the finance and real economy channels on the calculation that if we kept the domestic financial markets functioning normally and ensured that the liquidity stress did not set off solvency cascades, confidence would automatically return to the financial markets. This translated into targeting three objectives: first, make the system flush with rupee liquidity; second, augment foreign-exchange liquidity; and third, drive a policy framework aimed at keeping credit delivery on track and arresting moderation in growth.

It is standard practice for central banks to impound a prescribed proportion of commercial banks' net time and demand liabilities (NDTL), called 'reserve requirement', as an instrument of monetary policy; but this